

dramatically. For example, in bear markets, patterns with pullbacks drop 22% after the breakout. Without pullbacks, the drop measures 28%.

After the pullback completes, price resumes the downward move 58% of the time. To flip this around, it means 42% of the time (of those patterns having a pullback), the ultimate low appears as price drops before beginning its return to the breakout price.

Table 41.4 Breakout and Post-Breakout Statistics

Description	Bull Market	Bear Market
Breakout direction	100% down	100% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L –16%, M –17%, H –15%	L –23%, M –24%, H –24%
Pullback occurrence	68%	67%
Average time to pullback bottoms	–6% in 6 days	–10% in 6 days
Average time to pullback ends	12 days	12 days
Average decline for patterns with pullbacks	–15%	–22%
Average decline for patterns without pullbacks	–19%	–28%
Percentage price resumes trend	58%	58%
Performance with breakout day gap	–16%	–22%
Performance without breakout day gap	–16%	–24%
Average gap size	\$0.59	\$0.78

Gaps. In bear markets, on average, you see the best performance (to the ultimate low) if price does *not* gap on the breakout day. That's contrary to technical analysis lore, which says heavy breakout volume is important to performance. In this case, and in many other chart pattern examples, volume is not as important as people think.

Table 41.5 shows pattern size statistics.